NORTH SOUTH UNIVERSITY
SCHOOL OF BUSINESS AND ECONOMICS

Group Report: Comparative Analysis of 3 Assigned Banks

NCC Bank
With You. Always.

Mercantile Bank Limited

অগ্রণী ব্যাংক পিএলসি.
Agrani Bank PLC.
Committed to serve the nation

Course: Bank Management (FIN464)

Section 04

Submitted by

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Submitted to

Abdullah Al Mamun

Department of Accounting and Finance

North South University

Date of Submission: 11 May 2026

Letter of Transmittal

11 May 2026

To

Abdullah Al Mamun

Lecturer

Department of Finance and Accounting

Subject: Submission of Group Report

Dear Sir,

We are pleased to submit our group report as part of the course requirement. As per your instructions, we have analyzed 3 banks based in Bangladesh in terms of the key performance indicators that you assigned to us, along with some research from recent news from authentic sources.

We are grateful for this assignment, as it has been both informative and helpful in strengthening our understanding of bank practices and analysis.

Sincerely,
Sabirah Nazabatun Hasan

Mihika Nanjiba Anan

Junayed Hasan Zehan

Najiza Israt Rifa

Acknowledgement

First and foremost, we would like to express our heartfelt gratitude to Almighty Allah for giving us the strength, patience, and guidance to complete this report.

We would also like to sincerely thank our respected faculty for their continuous support and guidance. The knowledge and training we received in this course have been invaluable in helping us carry out this project successfully.

Last but not least, we want to appreciate the efforts of every member of our team. Without the hard work, cooperation, and dedication of each individual, this report would not have been possible.

Liquidity Analysis			
Ratios	**Agrani Bank**	**NCC Bank**	**Mercantile Bank**
Cash Position Indicator	**7.57%**	**5.52%**	**6.71%**
Capacity Ratio	**61.57%**	**69.67%**	**67.92%**
Liquid Securities Indicator	**22.23%**	**22.16%**	**20.36%**
Net Liquidity Position	**-893,758,923,042**	**-236,691,220,848**	**-300,350,855,982**

Cash Position Indicator ((Short-term liquidity): CPI measures the proportion of cash and due from depository institutions to total assets, indicating the bank's ability to meet immediate cash needs. Agrani (7.57%) is the strongest immediate liquidity position; NCC (5.52%) is weakest. Agrani Bank can handle withdrawals better.

Capacity Ratio (Long-term liquidity risk): The capacity ratio indicates the proportion of assets invested in loans. This acts as a negative liquidity indicator. NCC Bank (69.67%) has the highest ratio, suggesting higher liquidity risk, followed by Mercantile Bank (67.92%). Agrani Bank (61.57%) maintains a relatively lower ratio, indicating a more balanced approach between profitability and liquidity.

Liquid Securities Indicator (Long-term liquidity strength): This ratio Captures the share of easily sellable securities (mainly government bonds). Agrani Bank (22.23%) and NCC Bank (22.16%) maintain strong positions, supporting long-term liquidity and financial stability. Mercantile Bank (20.36%) shows a slightly lower but still reasonable level of liquid investments.

Net Liquidity position (Short-term pressure): Net liquidity position compares total liquid assets with volatile or short-term liabilities. All three banks show negative positions, meaning their short-term liabilities exceed liquid assets. All of them rely on short-term funding more than on liquid assets, showing structural liquidity gaps. Agrani has the largest negative amount, LCC the smallest gap, and Mercantile is in between, meaning NCC Bank is relatively better positioned among the three on this measure.

Financial Risk Analysis			
Ratios	**Agrani Bank**	**NCC Bank**	**Mercantile Bank**
Interest Coverage Ratio	**0.83 times**	**1.30 times**	**1.06 times**
Total Debt Ratio	**97.51%**	**92.85%**	**94.13%**
Debt to Equity Ratio	**39.15 times**	**12.99 times**	**16.03 times**

Interest Coverage Ratio: NCC Bank has the strongest interest coverage ratio at 1.30 times which shows a better ability to cover interest/profit sharing expenses. Mercantile Bank is weaker and is at 1.06 times but Agrani Bank is the weakest at 0.83 times which means its earnings were not enough to cover interest expenses.

Total Debt Ratio: Agrani Bank has the highest debt ratio at 97.51% that shows its highest dependence on liabilities. NCC Bank has the lowest at 92.85% which gives it a comparatively stronger position but Mercantile Bank stands in between at 94.13%.
Debt-to-Equity Ratio: Agrani Bank has the highest debt-to-equity ratio which is 39.15 times. Mercantile Bank is at 16.03 times and NCC Bank has the lowest which is 12.99 times that makes it the least risky among the three in terms of leverage.

Profitability			
Ratios	**Agrani Bank**	**NCC Bank**	**Mercantile Bank**
ROE	**-28.93%**	**9.37%**	**2.47%**
ROA	**-0.72%**	**0.67%**	**0.15%**
Net Interest Margin	**0.08%**	**1.78%**	**0.16%**
Net Operating Margin	**1.22%**	**3.24%**	**1.30%**
Non-Interest Income Margin	**1.14%**	**1.46%**	**1.14%**
EPS	**-44.68**	**2.10**	**0.58**

Return on Equity (ROE): NCC Bank performs best with highest ROE of 9.37% showing strong profit generation from shareholder equity. Agrani Bank performs worst at -28.93% due to heavy net losses reducing shareholder value.
Return on Assets (ROA): NCC Bank leads with highest ROA of 0.67% using its assets efficiently to generate profit. Agrani Bank records the weakest result of -0.72%, indicating poor profitability from its asset base.
Net Interest Margin (NIM): NCC Bank has the highest margin of 1.78% reflecting better loan deposit spread management. Agrani Bank has the lowest 0.08% likely due to high funding costs and non performing loans.
Net Operating Margin: NCC Bank performs best with highest margin of 3.24% with better cost control and operating efficiency. Agrani Bank is lowest at 1.22% as operating expenses consume most of its income.
Non Interest Income Margin: NCC Bank leads with 1.46% through stronger fee based and investment income. Agrani Bank and Mercantile Bank are tied at lowest 1.14%, showing weaker diversification of income sources.
Earnings Per Share (EPS): NCC Bank records the highest EPS of Tk. 2.10 giving better returns to shareholders. Agrani Bank has the lowest EPS of Tk. -44.68 because of significant net losses.

Capital Adequacy			
Ratios	**Agrani Bank**	**NCC Bank**	**Mercantile Bank**
Tier 1 capital to risk-weighted Asset ratio	**1.01%**	**13.75%**	**9.37%**
Tier 2 capital to risk-weighted Asset ratio	**0.90%**	**1.60%**	**3.67%**
Total Capital Adequacy	**1.91%**	**15.35%**	**13.04%**

Tier 1 Capital to Risk Weighted Asset Ratio: NCC Bank performs the best with the highest Tier 1 ratio of 13.75% that shows its strong core capital position. Agrani Bank is the weakest with only 1.01% which shows a very low core capital position.
Tier 2 Capital to Risk-Weighted Asset Ratio: Mercantile Bank performs the best in Tier 2 capital with 3.67% that shows stronger supplementary capital and again Agrani Bank performs the weakest with 0.90%.
Total Capital Adequacy: Overall, NCC Bank has the strongest capital adequacy position with 15.35% and Mercantile Bank at 13.04% is the second. Agrani Bank is the weakest with only 1.91% which shows a very weak capital base compared to the other two banks.

Compliance

As can be seen from the **capital adequacy section**, an analysis based on the requirements of Basel I revealed that Agrani Bank has significantly failed to maintain the minimum tier 1 capital ratio of 4%, as well as the total adequacy ratio of 8%,. NCC Bank and Mercantile Bank on the other hand, both have successfully met all Basel I requirements, with total capital adequacies exceeding the minimum requirement, indicating stronger capital positions.. NCC Bank stands out with the strongest compliance position due to its strong core capital dependence (Tier 1 capital to risk-weighted Asset ratio 13.75%). Mercantile Bank also maintained stability with a slightly higher reliance on Tier 2 capital. All three banks maintained the permissible limit of tier 2 capital, staying within 100% of tier 1 capital.

Reserve and Provisioning Maintenance

	Statutory Reserve (BDT)		Total Provisions (BDT)	
Bank	**2024**	**2023**	**2024**	**2023**
Agrani Bank	**10,505,960,645**	**10,493,008,780**	**24,680,525,864**	**14,604,128,236**
NCC Bank	**11,104,230,950**	**11,104,230,950**	**6,136,836,442**	**3,482,005,962**
Mercantile Bank	**10,667,555,337**	**10,411,310,449**	**4,482,801,532**	**2,786,761,718**

In 2024, all three banks' **statutory reserves** data revealed stability and compliance with regulatory reserve requirements. NCC Bank has the highest amount, followed by Mercantile Bank and Agrani, with slight increases from the previous year.
All three banks have recorded significant increases in **total provisioning** in 2024, almost doubling from 2023, driven by a more cautious approach toward default risk management. Here, Agrani Bank stands out with the highest provisioning amount, towering over those of NCC Bank and Mercantile Bank. This indicates a result of higher provisioning pressure.

Investor's Perception

With a strong profitability, capital adequacy, lower leverage and favourable market response, NCC Bank is likely to have the most positive investor perception. Under Bangladesh Bank regulations, NCC Bank

was among the few approved banks to declare dividends (Hasan, 1 May 2026). Additionally, in April 2026, its share price surged by 21% when it announced record high profitability and a decade-high dividend (TBS Report, 28 April 2026).

Mercantile Bank is likely to have mixed perception. The bank withheld dividends in 2024 due to a provision shortfall of BDT 1,700 crore and higher percentage of non-performing loans (TBS Report, 10 June 2025). It was also among the list of banks declared ineligible to pay dividends due to provisioning issues and default loans (Hasan, 1 May 2026). As a result, investor confidence dropped.

Due to negative profitability, high leverage and low capital adequacy, Agrani Bank is likely to have the lowest investor confidence. This Bank was also among those ineligible for dividend payouts for the same reasons as Mercantile Bank (Hasan, 1 May 2026). Negative perceptions increased when the bank had to suspend lending in November 2024 to improve its deteriorating financial health. (Islam, 28 November 2024). However, the bank recorded reduced loan defaults of BDT 3,584 crore in 2025, indicating recovery efforts (Prince, 6 February 2026).

Comparative Analysis of Performance Based on Findings

Findings suggest that NCC Bank had the strongest performance among the three banks due to its recent superior profitability, strong capital adequacy, lower leverage, better liquidity position and enhanced investor perception. The Bank successfully net Basel I requirements and demonstrated high dividends and a good stock market response.

An overall average performance was witnessed from Mercantile Bank, with an adequate amount of capital, satisfactory financial risk management and a relatively stable liquidity. However, provisioning shortfalls, rising provision pressures and dividend restrictions have lowered profitability and investor perception.

The worst performing bank was Agrani Bank due to its negative profitability, high leverage, weak capital adequacy and failure to be Basel I compliant. Higher Non performing loans and provisioning pressure further accelerated this weak performance and investor confidence.

Recommendations for the Weakest Bank (Agrani Bank)

Agrani Bank should strengthen and persist its loan recovery efforts in order to reduce its NPL percentage through meticulous monitoring and recovery mechanisms. Recovery efforts should also involve improved operational efficiency, stronger credit risk assessment prior to giving out loans, and eventually improve its capital adequacy through retained earnings and higher profitability to restore investor confidence. Tighter control and better governance might aid financial stability.

Suggested Improvements for the Best Performing Bank (NCC Bank)

NCC Bank should continue to improve its liquidity management through stricter control over its long term liquidity risk arising from high capacity ratio. Additionally, diversifying its portfolio of income sources and strength of assets can help optimize risk, further enhance investor confidence and ensure long-term financial sustainability.

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Contribution Table	
Sabirah Nazabatun Hasan	Compliance, Reserve and Provisioning, Investor Perceptions, Compiling Report
Mihika Nanjiba Anan	Financial Risk, Capital Adequacy
Junayed Hasan Zehan	Profitability
Najiza Israt Rifa	Liquidity
ALL	Comparative Analysis

Agrani Bank PLC.
Consolidated Balance Sheet
As at 31 December 2024

PROPERTY & ASSETS	Notes	31.12.2024	31.12.2023
Cash:	3(a)	**56,541,071,083**	**65,902,806,245**
Cash in hand (including foreign currencies)		13,376,380,754	9,903,026,716
Balance with Bangladesh Bank and its agent bank (including foreign currencies)		43,164,690,329	55,999,779,529
Balance with Other Banks and Financial Institutions:	4(a)	**40,698,829,972**	**44,607,788,108**
In Bangladesh		38,290,649,807	41,569,495,101
Outside Bangladesh		2,408,180,165	3,038,293,007
Money at Call and Short Notice	5	**1,490,100,000**	**505,300,000**
Investments:	6(a)	**285,760,462,230**	**262,501,290,973**
Government		215,989,835,332	178,394,824,041
Others		69,770,626,898	84,106,466,932
Loans and Advances:	7(a).1	**791,391,813,141**	**757,823,928,533**
Loans, cash credit & overdraft etc.		789,114,657,002	755,615,091,519
Bills discounted and purchased		2,277,156,139	2,208,837,014
Fixed Assets			
including land, building, furniture and fixtures	8(a)	**17,540,698,319**	**17,550,603,481**
Other Assets	9(a)	**91,305,675,609**	**85,378,389,896**
Non-banking Assets	9.6	**417,161,455**	**417,161,455**
Total Assets		**1,285,145,811,809**	**1,234,687,268,691**
LIABILITIES & CAPITAL			
Liabilities:			
Borrowings from Other Banks, Financial Institutions and Agents	10(a)	**19,564,183,039**	**25,291,599,141**
Subordinated debt	10.5	**800,000,000**	**2,200,000,000**
Deposit and Other Accounts:	11(a)	**992,488,924,097**	**989,109,969,072**
Current deposits & other accounts		217,623,318,523	225,183,520,230
Bills payable		16,081,775,073	15,909,471,045
Savings bank deposits		301,170,539,264	293,790,343,895
Fixed deposits		457,613,291,237	454,226,633,902
Other Liabilities	12(a)	**240,286,272,807**	**175,727,859,899**
Total Liabilities		**1,253,139,379,943**	**1,192,329,428,112**
Capital/Shareholders' Equity:			
Paid-up capital	13.2	**20,722,940,400**	**20,722,940,400**
Reserve:		**22,079,853,581**	**22,047,421,667**
Statutory reserve	14(a)	10,505,960,645	10,493,008,780
General reserve	15(a)	616,273,298	603,286,599
Risk fund	15.1(a)	100,000,000	100,000,000
Other reserve		6,493,350	-
Asset revaluation reserve	16(a)	10,851,126,288	10,851,126,288
Revaluation & amortization reserve	17(a)	82,720,711	250,564,065
Retained surplus/(deficit)	18(a).1	(11,013,491,484)	(771,454,363)
Foreign currency translation reserve	19	134,405,745	108,365,893
Minority interest	20	2,913	2,917
Total Shareholders' Equity		**32,006,431,866**	**42,357,840,579**
Total Liabilities and Shareholders' Equity		**1,285,145,811,809**	**1,234,687,268,691**

Agrani Bank PLC.
Consolidated Profit and Loss Account
For the year ended 31 December 2024

Amount in BDT

	Notes	2024	2023
Operating income			
Interest and Revenue income	23(a)	53,922,655,686	50,776,810,116
Interest paid on deposits, borrowings etc.	24(a)	(52,896,370,782)	(44,918,201,894)
Net interest income		**1,026,284,904**	**5,858,608,222**
Investment income	25(a)	23,335,864,658	19,230,557,708
Commission, exchange earnings and brokerage	26(a)	9,298,951,828	8,996,062,242
Other operating income	27(a)	1,817,731,840	2,119,289,637
		34,452,548,326	**30,345,909,587**
Total operating income		**35,478,833,230**	**36,204,517,809**
Operating expenses			
Salary and allowances	28(a)	12,200,685,149	11,831,835,422
Rent, taxes, insurance, electricity etc.	29(a)	1,291,506,991	1,161,742,000
Legal expenses	30(a)	37,191,530	28,563,620
Postage, stamp, telecommunication etc.	31(a)	275,348,233	235,412,538
Stationery, printing, advertisement etc.	32(a)	282,073,664	268,488,160
Chief Executive's salary and allowances	33(a)	6,506,667	7,222,904
Directors' fees	34(a)	9,767,759	12,353,317
Auditors' fees	35(a)	6,342,423	7,394,412
Depreciation and repair of bank's assets	36(a)	1,939,234,998	2,012,528,588
Other expenses	37(a)	3,771,420,723	2,938,542,526
Total operating expenses		**19,820,078,137**	**18,504,083,487**
Profit/(Loss) before provision & tax		**15,658,755,093**	**17,700,434,322**
Provision for loans and advances	38(a)	8,269,400,933	9,628,259,241
Provision for diminution in the value of Investments	39(a).1	10,280,025,129	630,575,952
Other provision	39(a).2	6,131,099,802	4,345,293,043
Total provision		24,680,525,864	14,604,128,236
Net profit/(loss) before Tax		**(9,021,770,771)**	**3,096,306,086**
Provision for Tax			
Current Tax	40	4,920,046,036	4,904,765,440
Deferred Tax	41	(4,682,346,198)	(2,847,529,615)
		237,699,838	2,057,235,825
Net profit/(loss) after Tax		**(9,259,470,609)**	**1,039,070,261**
Retained earnings brought forward from previous years		(771,454,363)	(1,234,056,917)
Net effect of all items directly recognized in Equity-retained earnings		(920,099,768)	(8,990,974)
		(10,951,024,740)	(203,977,630)
Appropriation:			
Statutory reserve		12,986,699	530,573,686
General Reserve		12,986,699	-
Other reserve		6,493,350	-
Paid cash dividend		30,000,000	30,000,000
Minority Interest		(4)	100
Start-up fund		-	6,902,947
		62,466,744	567,476,733
Retained surplus/(deficit)	18(a).1	**(11,013,491,484)**	**(771,454,363)**
Earnings Per Share (EPS)	13.3(a)	(44.68)	5.01

These financial statements should be read in coniunction with the annexed notes 1 to 53.

(MUHAMMED DIDARUL ISLAM FCA)
General Manager & CFO

(MD. ANWARUL ISLAM)
Chief Executive Officer

(KABIRUL EZDANI KHAN)
Director

(DR. MD. FAZLUL HOQUE)
Director

(SYED ABU NASER BUKHTEAR AHMED)
Chairman

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Dated, Dhaka
27-May-2025

Agrani Bank PLC.
Consolidated Cash Flow Statement
For the year ended 31 December 2024

Amount in BDT

	Notes	2024	2023
A. Cash flows from operating activities			
Interest receipts in cash	42(a)	53,526,303,385	50,540,755,815
Interest payments	43(a)	(51,124,538,206)	(42,622,137,112)
Dividend receipts		289,586,335	432,459,892
Fees and commission receipts		3,364,075,181	3,827,280,536
Recovery of loans previously written off		427,107,592	500,680,010
Income from Investment		23,980,300,288	18,759,213,373
Cash payments to employees		(12,207,216,816)	(11,839,172,367)
Cash payments to suppliers		1,081,978,909	675,448,989
Income taxes paid		(5,767,094,160)	(3,056,671,329)
Receipts from other operating activities	44(a)	1,835,434,008	2,150,598,137
Payments for other operating activities	45(a)	(4,651,156,801)	(4,040,845,771)
Operating profit/(loss) before changing in operating assets and liabilities		**10,754,779,715**	**15,327,610,173**
(Increase)/decrease in operating assets and liabilities			
Statutory Deposits		-	-
Purchase/sale of trading securities		22,870,773,545	62,227,078,905
Loans & Advances to other banks		-	-
Loans & Advances to customers		(33,567,884,608)	(27,761,533,945)
Other assets		(13,384,541,666)	(3,288,821,865)
Deposits from other banks		(8,885,739,148)	(18,023,231,634)
Deposits from customers		12,264,694,173	76,271,657,211
Other liabilities account of customers		-	-
Trading liabilities		-	-
Other liabilities		45,709,441,147	(8,147,562,811)
		25,006,743,443	**81,277,585,861**
Net cash from operating activities (A)		**35,761,523,158**	**96,605,196,034**
B. Cash flows from investing activities			
Proceeds from sale of securities		14,435,518,224	1,867,722,500
Payments for purchase of securities		(60,756,504,348)	(95,803,287,540)
Purchase/sale of property, plant & equipment		(752,025,757)	(468,080,270)
Purchase/sale of subsidiary		-	-
Net cash from investing activities (B)		**(47,073,011,881)**	**(94,403,645,310)**
C. Cash flows from financing activities			
Receipts from issue of loan capital & debt security		(1,400,000,000)	(1,400,000,000)
Payments for redemption of loan capital & debt security		-	-
Receipts from/Payments to other borrowings		(5,727,416,102)	(2,289,330,205)
Receipts from issue of ordinary share		-	-
Dividends paid		-	-
Net cash from financing activities (C)		**(7,127,416,102)**	**(3,689,330,205)**
Net increase in cash and cash equivalents (A+B+C)		**(18,438,904,825)**	**(1,487,779,481)**
Effect of exchange rate change on cash and cash equivalent		6,162,903,827	4,984,151,789
Cash and cash equivalents at the beginning of the year		111,034,363,653	107,537,991,345
Cash and cash equivalents at the end of the year	47	**98,758,362,655**	**111,034,363,653**

(MUHAMMED DIDARUL ISLAM FCA)
General Manager & CFO

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Chief Executive Officer

(KABIRUL EZDANI KHAN)
Director

(DR. MD. FAZLUL HOQUE)
Director

(SYED ABU NASER BUKHTEAR AHMED)
Chairman

Dated, Dhaka
27-May-2025

National Credit and Commerce Bank PLC. and its Subsidiaries

Consolidated Balance Sheet

As at 31 December 2024

	Note	2024 Taka	2023 Taka
PROPERTY AND ASSETS			
Cash	5(a)	**17,343,428,334**	**13,236,965,584**
In hand (including foreign currencies)		3,398,085,511	2,522,237,298
Balance with Bangladesh Bank and its agent bank (s) (including foreign currencies)		13,945,342,823	10,714,728,286
Balance with other banks and financial institutions	6(a)	**1,850,729,941**	**10,411,012,211**
In Bangladesh		1,365,736,516	8,353,590,410
Outside Bangladesh		484,993,425	2,057,421,801
Money at call and short notice	7	**765,700,000**	**1,817,300,000**
Investments	8 (a)	**77,015,350,280**	**55,262,898,749**
Government		65,916,747,074	42,594,687,770
Others		11,098,603,206	12,668,210,979
Loans and advances/investments	9(a)	**242,082,668,135**	**230,984,677,002**
Loans, cash credits, overdrafts, etc./investments		229,504,421,447	219,673,070,722
Bills purchased & discounted		12,578,246,688	11,311,606,280
Fixed assets including premises, furniture and fixtures	10(a)	**3,500,362,785**	**3,039,510,488**
Other assets	11(a)	**4,905,923,069**	**4,440,108,107**
Non-banking assets	12	**2,750,514**	**127,773,014**
TOTAL ASSETS		**347,466,913,058**	**319,320,245,155**
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from other banks, financial institutions and agents	13 (a)	**20,316,815,660**	**35,377,764,390**
Deposits and other accounts	14 (a)	**256,651,079,123**	**220,949,124,939**
Current deposits/Mudaraba current deposit and other accounts		35,884,334,882	35,318,408,190
Bills payable		6,093,137,237	6,428,436,722
Savings bank/Mudaraba savings bank deposits		34,177,530,659	31,926,820,849
Fixed deposits/Mudaraba term deposits		128,146,321,299	101,135,847,318
Time deposits/Mudaraba time deposit		52,349,755,046	46,139,611,861
Other liabilities	15(a)	**39,863,527,087**	**32,163,922,936**
NCC Bank Subordinated and Perpetual Bonds	16(a)	**5,800,000,000**	**6,600,000,000**
Non-Convertible Subordinated Bonds		800,000,000	1,600,000,000
Perpetual Bonds		5,000,000,000	5,000,000,000
TOTAL LIABILITIES		**322,631,421,871**	**295,090,812,265**
Shareholders' equity			
Paid up capital	17.2	11,104,230,950	11,104,230,950
Statutory reserve	18	11,104,230,950	11,104,230,950
General reserve	19(a)	10,993,285	10,669,712
Non-controlling (Minority) interest	17.8	209	209
Other reserve including assets revaluation reserve	20	533,717,079	361,879,410
Foreign currency translation gain/(loss) reserve	21.3	7,128,607	3,297,082
Actuarial gain/(loss) on defined benefit plans	20.2	(110,279,313)	-
Surplus in profit and loss account	21(a)	2,185,469,422	1,645,124,578
TOTAL SHAREHOLDERS' EQUITY		**24,835,491,188**	**24,229,432,890**
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**347,466,913,058**	**319,320,245,155**
NET ASSETS VALUE PER SHARE		**22.37**	**21.82**

National Credit and Commerce Bank PLC. and its Subsidiaries

Consolidated Profit and Loss Account

For the year ended on 31 December 2024

	Note	2024 Taka	2023 Taka
Interest/profit income	24(a)	23,197,412,529	17,380,941,256
Less: Interest paid/profit shared on deposits and borrowings	25(a)	17,024,220,901	11,795,171,463
Net Interest/profit income		**6,173,191,628**	**5,585,769,793**
Income from investments in shares & securities etc.	26(a)	7,527,359,411	5,124,803,926
Commission, exchange and brokerage	27(a)	2,940,569,602	2,744,289,260
Other operating income	28(a)	1,168,651,229	1,230,562,571
Total operating income		**17,809,771,870**	**14,685,425,550**
Salary and allowances	29(a)	3,918,203,258	3,553,945,648
Rent, taxes, insurance, electricity etc.	30(a)	564,589,882	615,660,192
Legal expenses	31(a)	22,818,550	22,197,567
Postage, stamp, telecommunication etc.	32(a)	74,629,664	55,940,210
Stationery, printing, advertisement etc.	33(a)	113,623,909	89,321,132
Managing Director's salary and allowances	34	10,858,579	23,753,875
Director's fees & other meeting related expenses	35(a)	5,492,755	3,909,779
Auditors' fees	36(a)	782,000	695,750
Charges on loan losses		81,998,970	298,668,323
Repairs,maintenance,amortization and depreciation of bank's assets	37(a)	579,569,259	493,651,470
Other expenses	38(a)	1,191,149,480	1,187,776,849
Total operating expenses		**6,563,716,306**	**6,345,520,796**
Profit before provision		**11,246,055,565**	**8,339,904,754**
Provision for loans and advances/investments		5,069,663,327	3,017,213,736
Specific provision	15.5.1(a)	5,465,039,558	3,176,208,211
General provision	15.5.1(b)	139,320,104	112,123,488
Special general provision COVID-19	15.5.1(c)	(534,696,334)	(271,117,963)
Provision for off-balance sheet exposures	15.5(d)	(92,412,246)	77,235,347
Provision for off-shore banking unit	15.5(e)	(3,749,142)	25,165,088
Provision for investment fluctuation in shares & Others	8.3(a)	1,042,081,901	288,491,791
Provision for other assets	15.2	121,252,602	73,900,000
Provision for nostro accounts	15.9	-	-
Total provisions		**6,136,836,442**	**3,482,005,962**
Profit after provision for loans & advances and others items		**5,109,219,123**	**4,857,898,793**
Contribution to NCC Bank's CSR Fund	15.7	30,000,000	30,000,000
Profit before tax		**5,079,219,123**	**4,827,898,793**
Provision for tax		**2,752,437,758**	**2,530,209,366**
Current tax	15.4	2,621,914,526	2,471,148,970
Deferred tax expense/(income)	15.4.1	130,523,232	59,060,396
Net Profit after tax		**2,326,781,365**	**2,297,689,427**
Attributable to:			
Shareholders' of the bank		2,326,781,365	2,297,689,427
Non-controlling (Minority) Interest/profit		-	-
		2,326,781,365	**2,297,689,427**
Balance of profit brought forward from last year	21.2	312,616,864	388,493,331
Add: Net Profit after tax for the year		2,326,781,365	2,297,689,427
Total profit available		**2,639,398,229**	**2,686,182,758**
Appropriations:			
Statutory reserve		-	528,772,900
Interest on perpetual bonds		500,000,000	500,000,000
Start-up fund	15.11	23,235,689	22,948,364
General reserve		323,573	287,649
		523,559,262	1,052,008,913
Retained earnings		**2,115,838,966**	**1,634,173,844**
Earnings per share (EPS)	44(a)	**2.10**	**2.07**

These financial statements should be read in conjunction with the annexed notes from 1 to 49.

Chairman **Director** **Director** **Managing Director**

Dated, Dhaka
30 April 2025

See annexed auditor's report to the Shareholders of the date.

ACNABIN, Chartered Accountants
FRC Registration # CAF-001-012

Muhammad Aminul Hoque FCA
Partner
Enrolment number: 1129
DVC No: 2504301129AS332382

National Credit and Commerce Bank PLC. and its Subsidiaries

Consolidated Cash Flow Statement

For the year ended on 31 December 2024

	Note	2024 Taka	2023 Taka
A) Cash flows from operating activities			
Interest/profit receipts		28,906,111,334	22,095,605,539
Interest/profit payments		(16,065,962,048)	(11,733,409,082)
Dividend receipts		268,671,405	134,688,870
Fees & commission receipts		1,958,023,924	1,727,347,196
Recoveries of loans previously written off		215,446,276	318,727,173
Cash paid to employees		(3,981,204,850)	(3,661,174,426)
Cash paid to suppliers		(415,733,179)	(365,856,258)
Income taxes paid		(2,699,531,541)	(2,417,777,255)
Receipts from other operating activities	39(a)	1,929,656,016	1,925,026,148
Payments for other operating activities	40(a)	(1,426,736,312)	(1,812,180,056)
Operating cash flow before changes in operating assets and liabilities		8,688,741,025	6,210,997,850
Increase/(Decrease) in operating assets & liabilities:			
Purchase & sale of trading securities		(14,259,824,744)	2,523,784,515
Loans and advances to customers (Other than banks)		(11,179,990,103)	(18,970,704,047)
Other assets	41(a)	426,174,050	(2,213,427,877)
Deposits and borrowings from other banks		(13,493,374,075)	2,200,540,893
Deposits from customers (Other than banks)		32,710,403,125	18,126,787,476
Other liabilities account of customers		(1,258,142,135)	701,629,133
Other liabilities	42 (a)	1,510,124,683	1,127,754,630
Net Cash receipts from operating activities		**3,144,111,826**	**9,707,362,573**
B) Cash flows from investing activities			
Proceeds from sale of Shares		382,920,248	112,325,637
Payment for purchase of Shares		(448,312,293)	(668,124,636)
Investment in securities		(7,630,387,025)	(4,173,626,589)
Purchase of property, plant and equipment		(224,661,731)	(185,253,137)
Sales proceeds of fixed assets		597,666	5,471,527
Net cash used in investing activities		**(7,919,843,135)**	**(4,909,207,198)**
C) Cash flows from financing activities			
Borrowings from other bank's, financial institutions and Others		1,395,169,118	(8,239,442,890)
Issue/(redemption) of non-convertible subordinated bonds		(800,000,000)	(800,000,000)
Issue of NCC Bank perpetual bonds		-	-
Dividend paid		(1,325,530,153)	(502,324,986)
Net cash receipts/(payments) from financing activities		**(730,361,035)**	**(9,541,767,876)**
D) Net (decrease)/ increase in cash and cash-equivalents (A+B+C)		**(5,506,092,344)**	**(4,743,612,501)**
E) Effects of exchange rate changes on cash and cash-equivalents		3,831,525	(9,482,007)
F) Cash and cash-equivalents at the beginning of the year		25,474,291,896	30,227,386,404
G) Cash and cash-equivalents at the end of the year (D+E+F)	43(a)	**19,972,031,077**	**25,474,291,896**
Net Operating Cash Flows Per Share		**2.83**	**8.74**

These financial statements should be read in conjunction with the annexed notes from 1 to 49.

Chairman **Director** **Director** **Managing Director**

Dated, Dhaka
30 April 2025

MERCANTILE BANK PLC. AND ITS SUBSIDIARIES

CONSOLIDATED BALANCE SHEET

As at 31 December 2024

Particulars	Notes	Amount in BDT	
		Dec-24	Dec-23
PROPERTY AND ASSETS			
Cash	3(a)	**19,966,071,186**	**17,805,904,761**
Cash in hand (Including foreign currency)		3,886,073,062	3,579,135,234
Balance with Bangladesh Bank & its agent bank(s) (including foreign currency)		16,079,998,124	14,226,769,527
Balance with other banks and financial institutions	4(a)	**10,078,271,386**	**5,592,856,927**
In Bangladesh		868,026,329	827,781,875
Outside Bangladesh		9,210,245,057	4,765,075,052
Money at call on short notice	5(a)	**12,258,100,000**	**743,100,000**
Investments	6(a)	**91,148,536,179**	**81,358,803,832**
Government		80,605,543,842	70,408,991,198
Others		10,542,992,337	10,949,812,634
Loans and Advances/investments	7(a)	**304,030,499,796**	**288,593,418,998**
Loans, Cash Credit, Overdraft etc/investments		294,689,212,819	280,960,116,855
Bills purchased and discounted		9,341,286,977	7,633,302,143
Fixed assets including premises, furniture and fixtures	8(a)	**3,358,706,142**	**3,592,292,283**
Other assets	9(a)	**6,698,676,534**	**7,120,614,851**
Non- banking assets	10(a)	**45,081,332**	**45,081,332**
Total Property and Assets		**447,583,942,554**	**404,852,072,983**
LIABILITIES AND CAPITAL			
Liabilities			
Borrowings from other banks, financial institutions and agents	11(a)	**15,505,468,357**	**20,881,244,791**
Non-convertible Subordinated Bond	11.6a	**600,000,000**	**1,200,000,000**
Mercantile Bank Perpetual Bond	11.7a	**3,630,000,000**	**3,630,000,000**
Deposits and other Accounts		**342,653,298,554**	**306,879,162,044**
Current/ Al-wadeeah current accounts and other accounts	12.1(a)	120,318,486,811	107,233,424,214
Bills Payable	12.2(a)	3,557,652,516	3,573,240,118
Savings Bank/Mudaraba savings bank deposits	12.3(a)	36,831,229,655	35,361,551,520
Fixed deposits/Mudaraba fixed deposits	12.4(a)	126,252,565,103	117,453,408,919
Deposit under schemes/Mudaraba deposit schemes	12.5(a)	55,693,364,468	43,257,537,272
Other Liabilities	13(a)	**58,914,723,983**	**45,805,076,395**
Total Liabilities		**421,303,490,893**	**378,395,483,230**
Capital/Shareholders' Equity		**26,173,336,777**	**26,352,067,690**
Paid up Capital	14.1	11,065,754,350	11,065,754,350
Statutory Reserve	15(a)	10,667,555,337	10,411,310,449
General Reserve	15.1	2,480,000,000	2,480,000,000
Other Reserve	16(a)	1,592,436,574	931,770,350
Foreign currency translation gain/(loss)	16.1 (a)	16,846,392	4,469,253
Surplus in Profit & Loss Account	17(a)	350,744,124	1,458,763,288
Non Controlling Interest	17(b)	107,114,883	104,522,063
Total Shareholders' Equity		**26,280,451,661**	**26,456,589,753**
Total Liabilities & Shareholders' Equity		**447,583,942,554**	**404,852,072,983**

MERCANTILE BANK PLC. AND ITS SUBSIDIARIES

CONSOLIDATED PROFIT & LOSS ACCOUNT

For the year ended 31 December 2024

Particulars	Notes	Amount in BDT	
		Jan-24 to Dec-24	Jan-23 to Dec-23
Interest income/Profit on investment	20(a)	23,466,287,929	20,416,063,027
Interest/Profit Paid on deposits, borrowings etc.	21(a)	22,754,852,604	17,482,802,969
Net interest income		**711,435,326**	**2,933,260,059**
Investment income	22(a)	7,448,388,605	4,789,349,350
Commission, exchange and brokerage	23(a)	4,111,427,649	4,820,006,400
Other operating income	24(a)	2,208,082,438	1,563,570,134
		13,767,898,692	**11,172,925,885**
Total operating income		**14,479,334,018**	**14,106,185,943**
Salaries and allowances	25(a)	4,219,257,134	4,226,785,049
Rent, taxes, insurances, electricity etc.	26(a)	795,641,640	684,473,453
Legal expenses	27(a)	59,965,715	40,650,323
Postage, stamps, telecommunication etc.	28(a)	80,068,876	77,978,915
Stationery, Printings, Advertisements etc.	29(a)	474,893,322	361,231,622
Chief Executive's salary and fees	30(a)	17,902,232	16,015,715
Directors' fees	31(a)	7,276,100	4,932,000
Auditors' fees	32(a)	3,370,655	1,920,622
Depreciation and repair of bank's assets	33(a)	757,420,353	794,387,791
Other expenses	34(a)	2,237,491,788	2,313,359,497
Total operating expenses		**8,653,287,814**	**8,521,734,987**
Profit/(Loss) before provision		**5,826,046,204**	**5,584,450,956**
Provision for loans and advances/investments including Off Balance Sheet items	13.5(a)	4,375,347,015	2,548,239,493
Provision for diminution in value of investments in shares	13.3.1(a)	46,978,137	57,457,654
Other provision	13.3.1(a)	60,476,380	181,064,571
Total provision		**4,482,801,532**	**2,786,761,718**
Total Profit/(Loss) before Taxes		**1,343,244,673**	**2,797,689,238**
Provision for Current Tax	13.4.1(a)	727,706,311	788,866,404
Provision for Deferred Tax	13.4.2(a)	(34,028,769)	(49,397,787)
		693,677,542	**739,468,617**
Net Profit after Taxation		**649,567,131**	**2,058,220,622**
Appropriations			
Statutory Reserve	15	256,244,888	545,721,167
Startup Fund	13.2.2	6,312,244	20,286,058
General Reserve	15.1	-	30,000,000
Other Reserve		4,577,904	15,055,257
Coupon Interest on MBL Perpetual Bond		361,214,445	314,772,222
		628,349,481	**925,834,704**
Retained surplus		**21,217,649**	**1,132,385,917**
Net profit after Tax attributable to:			
Equity holders of Mercantile Bank PLC.		18,443,322	1,128,740,304
Non Controlling Interest	17(b).1	2,774,328	3,645,613
		21,217,649	**1,132,385,917**
Earnings Per Share (EPS)	35(a)	**0.58**	**1.86**

The annexed notes form an integral part of these consolidated financial statements.

Managing Director **Director** **Director** **Chairman**

This is the Consolidated Profit and Loss Account referred to in our separate report of even date.

Signed for & on behalf of
Basu Banerjee Nath & Co.
Chartered Accountants

Dipok Kumar Roy, FCA
Partner
ICAB Enrollment No: 1334
DVC: 2505291334AS331634

Dhaka
Date: 29 May 2025

Signed for & on behalf of
Anil Salam Idris & Co.
Chartered Accountants

Md. Anwar Hossain, FCA
Managing Partner
ICAB Enrollment No: 1415
DVC: 2505291415AS724325

MERCANTILE BANK PLC. AND ITS SUBSIDIARIES

CONSOLIDATED CASH FLOW STATEMENT

For the year ended 31 December 2024

Particulars	Notes	Amount in BDT	
		Jan-24 to Dec-24	Jan-23 to Dec-23
A) Cash flows from operating activities			
		7,937,480,111	**6,932,704,217**
Interest received		21,225,142,102	18,331,729,364
Interest paid		(10,518,712,196)	(7,070,189,523)
Dividends receipts		49,510,950	36,546,409
Fees and commission received		2,092,407,370	1,794,009,458
Recoveries on loans previously written off		756,061,057	47,129,734
Payment to the employees		(4,219,257,134)	(4,226,785,049)
Payment to suppliers		(474,893,322)	(361,231,622)
Income taxes paid		(972,778,716)	(1,618,504,554)
Received from other operating activities		**11,519,404,829**	**9,240,907,640**
Exchange gain		2,019,020,278	3,025,996,943
Other operating income		9,500,384,550	6,214,910,697
Payment for other operating activities		**(3,183,220,015)**	**(3,047,996,777)**
Rent, taxes, insurances and electricity		(645,176,692)	(607,747,130)
Legal expenses		(59,965,715)	(40,650,323)
Postage, stamps and telecommunication		(79,848,934)	(77,399,802)
Auditors' fees		(1,185,655)	(195,622)
Repair and maintenance		(137,082,752)	(142,461,729)
Chief Executive's salary and fees		(17,902,232)	(16,015,715)
Directors' fees		(7,276,100)	(4,932,000)
Other expenses		(2,234,781,936)	(2,158,594,457)
Operating profit before changes in operating assets & liabilities		**16,273,664,925**	**13,125,615,079**
(Increase)/ decrease in operating assets and liabilities		**(25,633,633,442)**	**(21,899,436,178)**
Trading securities		(10,196,552,644)	(17,776,231,994)
Loans and advances to other banks		-	-
Loans and advances to customer		(15,437,080,798)	(4,123,204,185)
Other assets (Item-wise)		**421,938,317**	**4,928,345,083**
Income generating other assets:			
Investment in shares of subsidiary companies			
Investment in Shares of subsidiary company (In Bangladesh) Mercantile Bank Securities Limited		(23,722,709)	(35,740,582)
Investment in Shares of subsidiary company (In Bangladesh) MBL Asset Management Limited		(2,321,703)	(877,200)
Investment in Shares of subsidiary company (outside Bangladesh) Mercantile Exchange House (UK) Limited		(524,167)	(3,268,739)
Mercantile Bank OBU Unit			
Islamic-Conv. Adjustment Account			
Non-income generating other assets:			
Stationery, stamps,printing materials in stock etc		(8,588,579)	(3,619,431)
Advance rent and advertisement		36,467,540	9,829,524
Interest accued on investment but not collected,commission and brokerage receivable on shares and debenture and other income receivable		(161,925,330)	(274,411,538)
Security deposit		3,000	(737,055)
Preliminery, formation and organization expenses, renovation/development expenses and prepaid expenses		14,855,028	40,376,906
Branch adjustment		-	-
Inter Branch Settlement Account		471,307,097	5,358,687,436
Suspense Account		(97,914,648)	(382,214,757)
Right Of Use (ROU) Assets as per IFRS-16		194,302,788	220,320,521
		28,640,016,987	**9,152,461,123**
Deposit from other banks		(5,375,776,434)	(13,139,266,587)
Deposit from customers		35,774,136,510	25,141,371,123
Other liabilities		(1,758,343,089)	(2,849,643,413)
Net cash flows from operating activities		**19,701,986,788**	**5,306,985,107**

MERCANTILE BANK PLC. AND ITS SUBSIDIARIES

CONSOLIDATED CASH FLOW STATEMENT (CONTINUED)

For the year ended 31 December 2024

Particulars		Notes	Amount in BDT	
			Jan-24 to Dec-24	Jan-23 to Dec-23
B)	**Cash flows from investing activities**			
	Brokerage House customer account		-	-
	(Purchase)/ sale of property, plant and equipment		(189,838,133)	(251,216,819)
	(Purchase)/sale of shares		165,813,135	(297,014,331)
	(Purchase)/sale of bond		160,480,000	(600,000,000)
	Other investment		6,934,645	(680,000)
	Net cash flows from investing activities		**143,389,647**	**(1,148,911,150)**
C)	**Cash flows from financing activities**			
	Receipts from issue of loan capital and debt Securities		-	-
	Payments for redemption of loan capital and debt securities		(600,000,000)	(600,000,000)
	Paid for Interest on Subordinated bond		(67,330,664)	(88,814,136)
	Received by issue of right share		-	-
	Dividend paid		(1,106,575,435)	(1,084,877,878)
	Net cash flows from financing activities		**(1,773,906,099)**	**(1,773,692,014)**
	Net increase/(decrease) in cash & cash equivalent (A+B+C)		**18,071,470,335**	**2,384,381,943**
	Effects of Exchange rate changes on cash and cash equivalents		90,231,649	60,148,654
	Cash and cash equivalent at beginning of the year		24,146,723,888	21,702,193,291
	Cash and cash equivalent at the end of the year		**42,308,425,872**	**24,146,723,888**
	Net Operating Cash Flow Per Share (NOCFPS)	37(a)	**17.80**	**4.80**
	Cash and cash equivalents at the end of the year			
	Cash in hand (including foreign currencies)	3(a)	3,886,073,062	3,579,135,234
	Balance with Bangladesh Bank & its agent bank(s) (including foreign currencies)	3(a)	16,079,998,124	14,226,769,527
	Balance with other banks and financial institutions	4(a)	10,078,271,386	5,592,856,927
	Prize Bonds	6.2 (b)	5,983,300	4,862,200
	Money at call on short notice	5(a)	12,258,100,000	743,100,000
			42,308,425,872	**24,146,723,888**

The annexed notes form an integral part of these consolidated financial statements.

Managing Director **Director** **Director** **Chairman**

This is the consolidated Cash Flow Statement referred to our separate report of even date.

Dhaka
Date: 29 May 2025